Many of the measures proposed so far will enhance the attractiveness of highly rated corporate bonds to investors. But infrastructure projects that need substantial amounts of financing may not start out highly rated. To enable such entities to issue, we have allowed banks to offer credit enhancement to such bonds. We have been careful to set the capital requirement for such credit enhancement commensurate with the risk banks are taking on so that there is no arbitrage. Yesterday's announced measures should make it easier for banks to offer appropriate amounts of credit enhancement.

One area that needs greater clarification is obligations of state governments as well as state-government guaranteed obligations. In order for state government obligations to have zero risk weight, and have the highest rating, it is important that there be no explicit or implicit default or restructuring of such obligations. While a restructuring may seem like a way to postpone obligations, its ramifications, not just for the yield the market will demand of the particular state government issuer in the future but also for the yields on obligations of other state governments, are large enough that such actions should continue to remain 'unthinkable'.

REGULATIONS

We are conscious of the limitations placed on netting of derivative contracts, and thus the higher associated capital requirements on banks. The issue has been taken up with the government, and we hope to amend the RBI Act to make such netting possible. As with the tax issues associated with securitization, which have recently been addressed by the government, resolving this issue should lead to substantial market activity.

Finally, while the RBI is a liberalizer, we have to be careful not to relax prudential regulations simply because an entity or activity is deemed of national importance. Dispensation on prudential regulation